

India's consumer electronics and home appliances market to grow 10 per cent

Technavio market research analysts forecast the consumer electronics and home appliances market in India to grow annually at around 10 per cent during 2017-21. The report enlists consumer electronics and home appliances as the two major product segments, of which consumer electronics accounted for close to 74 per cent market share in 2016.

According to Technavio analysts, three main market drivers are the growth in government initiatives for electronic products, rising changes in the design of home architecture and increasing demand for premium appliances.

The government of India has allowed 100 per cent foreign direct investment (FDI) in the consumer electronics and home appliances manufacturing sector through automatic route and 51 per cent FDI in multi-brand retail. This has become a key attraction for foreign investors. Moreover, with the help of Make in India drive, India is on the path to becoming a high-technology manufacturing hub of electronic products. The government's plans to electrify the entire country by the end of 2019 will also boost the demand for consumer electronics and home appliances.

IT spending to grow 9 per cent

India's IT spending will increase 9.2 per cent from 2017's estimated spending of \$79.7 billion to total \$87.1 billion in 2018, according to Gartner, Inc.

Enterprise software and IT services continue to exhibit strong growth, with devices continuing to drive the majority of overall IT spending in India. Software spending is projected to grow 17.9 per cent in 2017, and it will grow another 15.3 per cent in 2018 to reach \$5.7 billion. IT services spending is on pace to grow 15.7 per cent in 2017 to reach

\$12.6 billion, and increase 13.8 per cent in 2018 to reach \$14.3 billion.

The devices segment is expected to register an increase of 23.2 per cent in 2017 and 13 per cent in 2018. Increased average selling prices for premium phones in mature markets, partially due to the introduction of iPhone 8 and X, along with an underlying demand for PCs from businesses replacing their machines with Windows 10 PCs, is driving the growth in this segment.

New policy on electronics likely by March next year

The Indian government is likely to bring out a new National Policy on Electronics by March 2018 to spur domestic electronics production. The policy will be aimed at boosting the flagship Make in India programme and curb the country's trade deficit.

"We have set a target of net zero imports in electronics by 2020, and

the new policy will focus not only on ramping up domestic production but also on making India an export hub," a senior official at the Ministry of Electronics and IT (MeitY) told *The Hindu*.

Work is under way to release a draft policy that would outline the framework to make India a global

On The Move

Two Indian executives bag global roles at Samsung

Samsung India has promoted two of its Indian executives to global roles. Asim Warsi, currently head of Samsung India's Mobile Division, has been made global vice-president, while Dipesh Shah, managing director of Samsung R&D Institute in Bengaluru, has been promoted to the role of global senior vice-president. However, both the executives will continue to be based in India, leading their respective divisions.

Gionee's global sales director to head India operations

David Chang, global sales director, Gionee Communication Equipment, will now lead India operations for the brand. He has 13 years of robust industrial experience, and has been associated with Gionee Communication for over a decade.

Tally appoints R&D chief

Business software provider Tally Solutions has appointed Arvind Kumar as the chief of R&D. Arvind will directly report to Tally's managing director, Bharat Goenka. He will be based out of the Bengaluru office and will lead the R&D team of over 150 resources. Prior to Tally, Arvind worked with Philips as director-R&D of Health Suite Digital platform. He has also worked with GE Healthcare, Hughes Network Systems, NIIT and Methodex System in various technology leadership roles.